FIXED-INCOME SEGMENTS, ISSUERS, AND INVESTORS

Learning Outcome

- describe fixed-income market segments and their issuer and investor participants

Fixed-income instruments and markets are typically categorized along three dimensions: issuer type (often known as sector), credit quality, and time to maturity. Sometimes, instruments and markets are additionally classified by issuers' geography, currency, and ESG characteristics.

In contrast to equities, where issuers typically issue just one or two instruments, issuers often have *many* fixed-income instruments outstanding. For example, a corporate issuer may have loans or both loans and bonds, either on a short-term basis to finance working capital or a long-term basis for capital investment. Some large companies also issue commercial paper, a type of short-term bond to finance working capital needs that can be collateralized by specific assets. These debt instruments may be in varying currencies to hedge exposures and broaden access to investors. For example, at the end of 2021, Apple Inc. had over 80 fixed-income instruments but a single equity instrument (common stock) outstanding.

Exhibit 1 illustrates typical issuers and instrument types across credit and time-to-maturity segments.

Exhibit 1:

Issuers across the Credit and Maturity Spectrums: Issuers and Instrument Types

Credit Quality \ Years to Maturity	〈 1y Short-Term	1y–10y Intermediate-Term	〉10y Long-Term
"Default Risk Free"	Treasury bills	Treasury notes	Treasury bonds
Investment Grade	Repo Commercial Paper ABCP	Unsecured Corporate bonds ABS	Unsecured Corporate bonds MBS
High Yield		Secured Corporate bonds Leveraged loans	

▶ Expand / collapse Extended Description

Note: ABCP is asset-backed commercial paper.

Fixed-income investors have corresponding positions along the credit and maturity spectrums as they seek to gain exposures to certain risks and to match the cash flows of known future obligations. Near-term obligations and the desire for liquid cash alternatives are often met with money market securities, while investors may assume greater interest

maturity profile that matches their long-term liabilities. Additionally, investors may take credit risk at any point on the maturity spectrum to augment returns. Exhibit 2 illustrates common investor positions across the credit and maturity spectrums.

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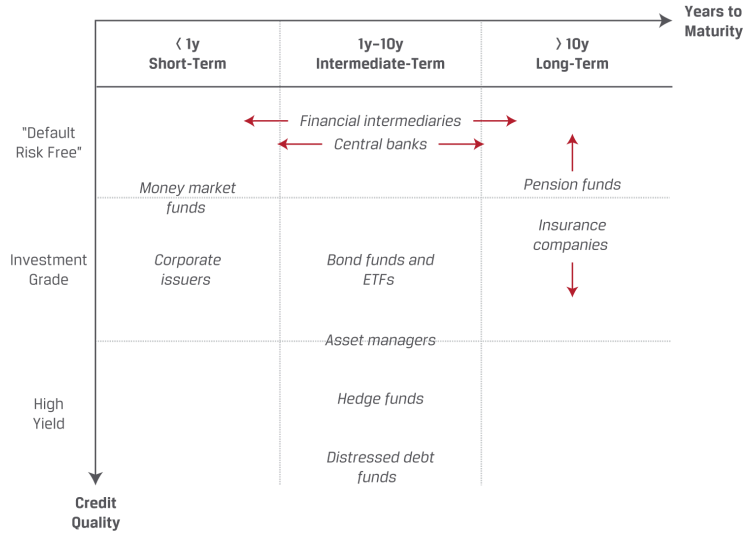
Exhibit 2:

Investors across the Credit and Maturity Spectrums: Investors



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Fixed-Income Issuance and Trading

▶ Expand / collapse Extended Description

A common measure of credit quality is a **credit rating**. Credit ratings are letter-grade, qualitative measures of an issuer's ability to meet its debt obligations based on both the probability of default and the expected loss under a default scenario. Credit ratings are given and maintained by **credit rating agencies** for both short-term and long-term debt and for *issuers* and specific bond *issues*. Two of the largest credit rating agencies are Standard & Poor's (S&P) and Moody's. Many investors are restricted to instruments with credit ratings, with a limited percentage of their portfolio invested in unrated instruments. Credit risk and credit ratings will be discussed in detail in later lessons.

S&P Credit Ratings

S&P ratings range from AAA for the highest credit quality to D for default, with ratings in descending order of credit quality as follows:

Investment Grade	AAA	Extremely strong capacity to meet financial commitments; highest rating
	AA	Very strong capacity to meet financial commitments
	A	Strong capacity to meet financial commitments but somewhat susceptible to adverse economic conditions and changes in circumstances
	BBB	Adequate capacity to meet financial commitments but more subject to adverse economic conditions
	BBB-	Considered lowest investment grade by market participants
Speculative Grade *or* High Yield	BB+	Considered highest speculative grade by market participants
	BB	Less vulnerable in the near term but faces major ongoing uncertainties to adverse business, financial, and economic conditions

	business, financial, and economic conditions to meet financial commitments
CC	Highly vulnerable; default has not yet occurred but is expected to be a virtual certainty
C	Currently highly vulnerable to non-payment, and ultimate recovery is expected to be lower than that of higher-rated obligations
D	Payment default on a financial commitment or breach of an imputed promise; also used when a bankruptcy petition has been filed or similar action taken

Source: S&P Global Ratings.

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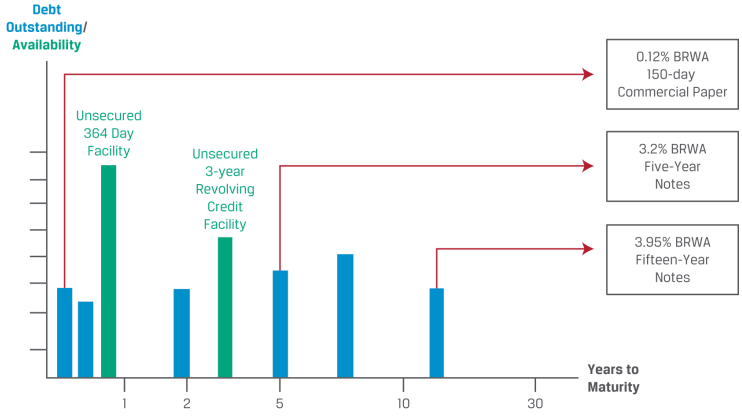
Developed market (DM) sovereign issuers usually represent the most creditworthy borrowers within a market and often carry a AAA rating. Because investors often assume they will receive all promised interest and principal payments on DM sovereign bonds, they comprise the "default risk free" category in Exhibit 1.

Issuers rated BBB- (Baa3 on Moody's scale) or higher are considered **investment grade**. Issuers rated BB+ (Ba1 on Moody's scale) or lower are referred to as **high yield**, speculative grade, or junk. High-yield issuers include new issuers for which investors are more likely to require collateral due to less stable operating cash flows, as well as formerly investment-grade issuers whose credit quality has deteriorated since the time of issuance (known as "**fallen angels**").

The participation of issuers and investors in heterogeneous fixed-income markets is illustrated in the following examples.

EXAMPLE 1

BRWA Corporation Debt Profile



BRWA is an example of an investment-grade corporate issuer with ready access to unsecured debt across maturities and markets as well as in different currencies either directly or through its affiliates. It uses commercial paper to meet its short-term or seasonal working capital needs, intermediate-term debt to cover more permanent working capital or medium-term investments, and long-term debt to match the longer useful life of capital investments, such as new manufacturing equipment or factories. BRWA pays a fee to a group (or **syndicate**) of banks for two **credit facilities**, which are loan agreements with pre-specified terms and limits but with fluctuating balances based on borrower-specific needs at different points in time, analogous to a credit card. The first is a 364-day facility which backs the commercial paper program, and the second is a longer-term revolving credit facility.

with VIVU, the digital media company introduced in an earlier module that has fewer fixed assets, less stable operating cash flows, and, therefore, limited access to fixed-income markets.

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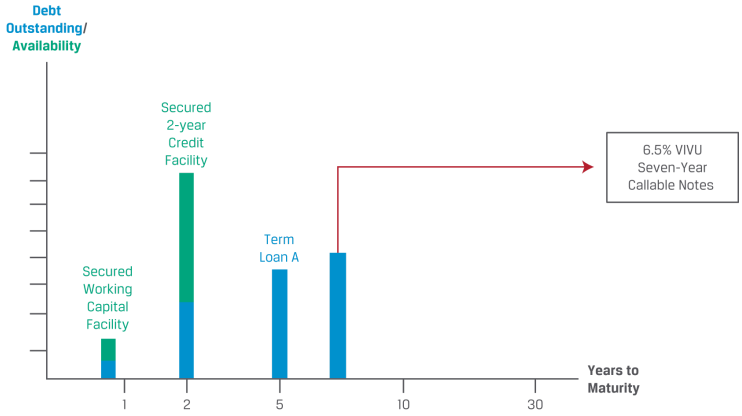
EXAMPLE 2

VIVU Fixed-Income Issuance



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VIVU is an example of a high-yield corporate issuer that has limited access to secured debt across shorter maturities. VIVU has no access to the unsecured commercial paper market but, rather, relies on partially drawn secured working capital and credit facilities from banks to meet its short-term needs. VIVU has a fully drawn loan (Term Loan A) that has a floating-rate coupon equal to MRR plus a fixed credit spread. VIVU also has seven-year callable notes outstanding under which it has the right to redeem the notes at a fixed price starting three years from issuance.

Sovereign government issuers typically have the lowest credit risk (highest credit rating) in each market, due to sovereign governments' right to tax economic activity. Developed market sovereign bonds are often widely held by both foreign investors and foreign central banks seeking to hold reserves in the developed market's currency in the form of an interest-bearing asset. Sovereign bonds also serve important functions in the domestic financial system. Central banks often use domestic sovereign bonds to conduct monetary policy, borrowing or lending these securities to increase or decrease monetary reserves.

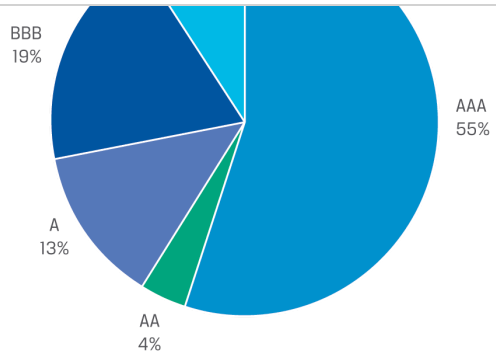
Investment-grade bond investors expect more stable cash flows, and defaults among investment-grade issuers are relatively rare. Expected returns are therefore lower than those for high-yield bonds and usually comparable or modestly higher than those of sovereign bonds. High-yield investors expect greater return for assuming a higher probability of default and often compare returns to those of equity investments.

EXAMPLE 3

Baywhite Financial's Bond Funds

Baywhite Financial manages its Core Bond Fund with the objectives of long-run capital appreciation with a relatively low tolerance for credit risk. The fund invests in investment-grade intermediate- and long-term bonds, including BRWA's 5- and 15-year notes. The composition of the fund's holdings, which include 3,601 positions, is as follows:

Baywhite Core Bond Fund Holdings by Credit Rating



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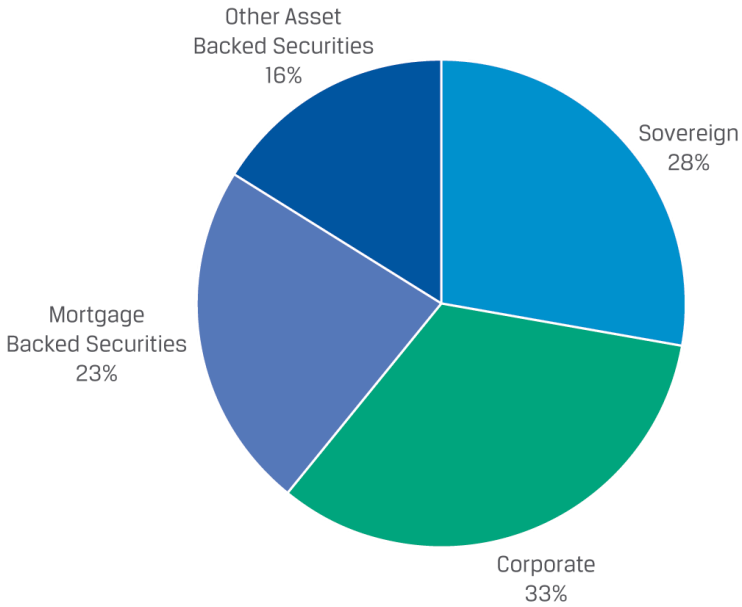
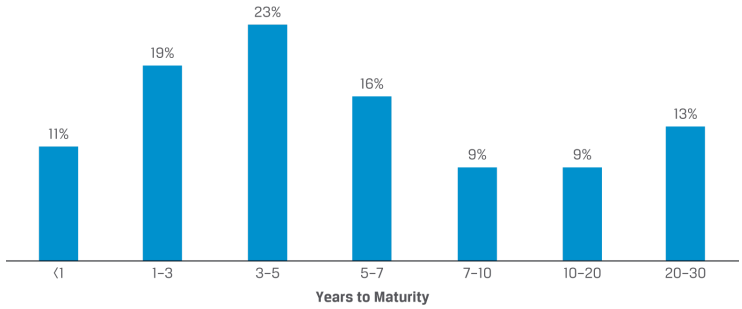
Baywhite Core Bond Fund Holdings by Issuer Type

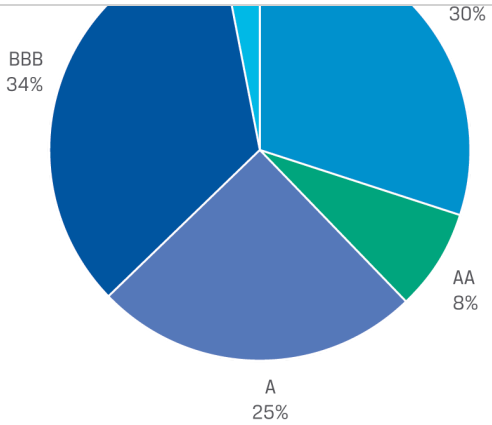


Baywhite Core Bond Fund Holdings by Time to Maturity



Baywhite also manages the Short-Term Bond Fund as a liquid cash alternative for investors, and it takes minimal credit and interest rate risk by investing in investment-grade, short-term bonds, such as BRWA's commercial paper. The composition of the Short-Term Bond Fund's holdings, which include 451 positions, is as follows:

Baywhite Short-Term Bond Fund Holdings by Credit Rating



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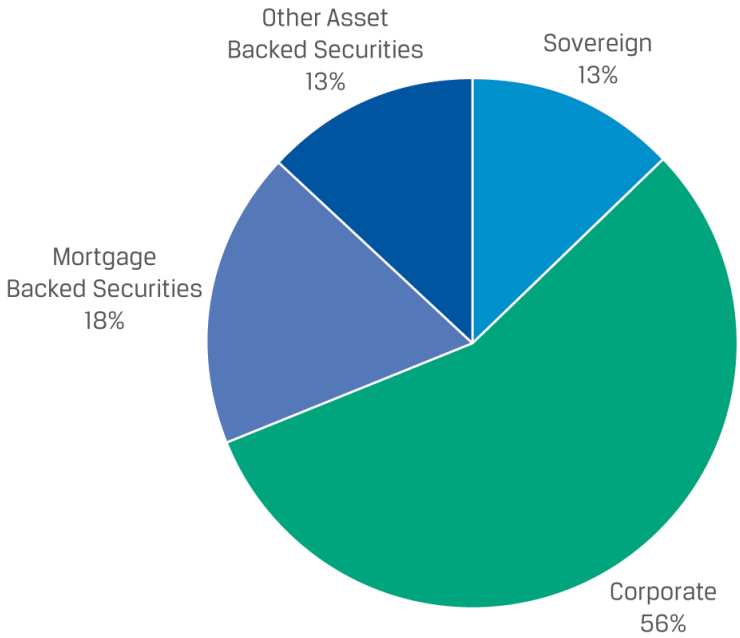
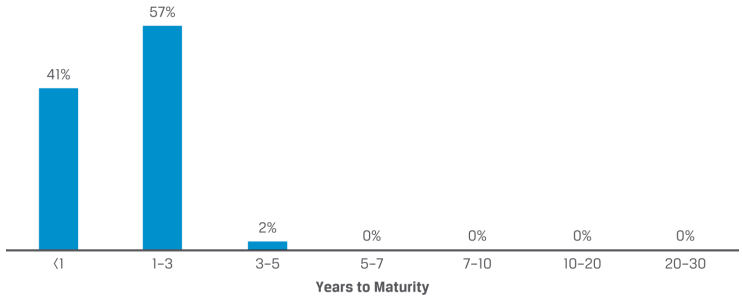
Baywhite Short-Term Bond Fund Holdings by Issuer Type



Baywhite Short-Term Bond Fund Holdings by Time to Maturity



Neither of these funds would invest in VIVU's seven-year callable notes, because both are restricted to owning investment-grade debt.

Question Set

1. A fixed-income mutual fund that is required to invest in only investment-grade bonds would *most likely* invest in:

A. B rated bonds.
B. BB+ rated bonds.

C is correct. Both B and BB+ rated bonds are considered high-yield bonds. A BBB- rated bond is considered the lowest investment-grade bond.

2. New issuers for which investors are likely to require collateral due to more volatile operating cash flows are *best* categorized as:

A. fallen angels.
B. high-yield issuers.
C. investment-grade issuers.

Hide Solution

Solution:

B is correct. High-yield issuers (not investment-grade issuers) include new issuers for which investors are more likely to require collateral due to less stable operating cash flows. Investment-grade issuers whose credit quality has deteriorated since the time of issuance are known as fallen angels.

3. A corporate issuer seeking to fund working capital needs would *most likely* issue:

A. commercial paper.
B. intermediate-term debt.
C. long-term debt.

Hide Solution

Solution:

A is correct. A corporate issuer would use commercial paper to meet its short-term or seasonal working capital needs, intermediate-term debt to cover more medium-term investments, and long-term debt or equity to match the longer useful life of capital investments.

4. A high-yield corporate issuer would *most likely* finance its operations using:

A. secured term loans.
B. long-term callable bonds.
C. unsecured commercial paper.

Hide Solution

Solution:

A is correct. A high-yield corporate issuer has limited access to secured debt across shorter maturities but has no access to unsecured commercial paper or the long-term bond market. (See Example 2.)

5. Identify the following statement as true or false. Justify your answer.

Foreign investors in emerging market debt have an expected return that is similar to that of developed market sovereign bonds.

Hide Solution

Solution:

False. Foreign investors in emerging market debt expect a return above that of developed market sovereign bonds in exchange for holding bonds with lower credit quality and higher risk related to currency fluctuations.

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RG

I too agree w/ the other commenters that #3 might be wrong and in fact be answer A. If it was B, I think more info was needed. This needs to be flagged.

Created 5 months ago by Raia Garvin — 1 reply | Last Activity: 4 months ago

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SM

The explanation for 4 also seems incorrect. A high yield corporate issuer can participate in the long term bond market by issuing callable bonds (VIVU's example above).

Since the questions asks about financing operating capital needs, the answer is correct (via secured corporate bonds).

Am I missing something?

Created 5 months ago by Supriya Murdia — 2 replies | Last Activity: 5 months ago

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GO

q3 is A

Created 5 months ago by Gabriel Oluwapelumi Oghughu — 0 replies | Last Activity: 5 months ago

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I believe there is a small confusion around Q3. In genal, Commercial papers are used to finance seasonal working capital needs whereas medium term loan and bonds are used to finance permeant working capital needs.

Created 6 months ago by Mohamed Subair Sujath Ahamed — 2 replies | Last Activity: 6 months ago

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TP

im not sure about question 3, i believe that commercial papers are great for funding working capital

Created 7 months ago by Tito Pizarro — 4 replies | Last Activity: 6 months ago

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SS

Hi,
They have not referred to seasonal or short-term in the question - If they had mentioned it it was option 1.

Created 7 months ago by Sanyukta Shantaram Jadhav — 0 replies | Last Activity: 7 months ago

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SY

Solution to Question 3 seems wrong. Wouldn't it be A? Explanation concurs with A as well

Screenshot%202025-03-29%20172916.png (59.7 KB)

Created 9 months ago by Samuel Yingxu Chan — 4 replies | Last Activity: 7 months ago

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MF

Question 3 should be

Created 8 months ago by Mark Foxworth — 0 replies | Last Activity: 8 months ago

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